

Lo Yew Seng v Astrawati Aluwi

[2026] SGHC(A) 18; Civil Appeal No 95 of 2025

Appellate Division of the High Court of Singapore

Jurisdiction

Singapore

Area of law

Tort law - Misrepresentation (fraudulent misrepresentation and negligent misstatement) and Conspiracy by unlawful means

Legal question

Did the appellant make false representations regarding the ownership and construction of a residential development in Niseko, Japan, and did he know these representations were false or act with recklessness as to their truth? Did the respondent rely on these representations when purchasing a unit in the development? Were the claims for negligent misstatement and unlawful means conspiracy properly pleaded and established?

Key facts

The respondent, Ms Astrawati Aluwi, agreed to purchase a residential apartment unit in the Tellus Hirafu development in Niseko, Japan. The appellant, Mr Lo Yew Seng, communicated with the respondent's property agent, Serene Wan, about the development and sent brochures describing it as a freehold property developed by Infinity Capital. The respondent paid US\$1,786,000 in six progress payments between May 2019 and May 2021 for the unit. The appellant had financial interests in the Infinity Group, including loans of S\$680,000 and S\$100,000 to LC Capital, and an investment of A\$200,000 in Infinity Capital. Critical evidence emerged that the Infinity Group never actually owned the land designated for the development: a Land Sale and Purchase Agreement dated 9 February 2018 showed Infinity Capital agreed to purchase the land from Zekkei for US\$10,500,000, but a Settlement Deed dated 30 January 2020 confirmed the purchase was never completed and only US\$3,320,888.37 had been paid. No construction permit was ever submitted for the development. The appellant drew heavily on documentary evidence including website archives showing him listed as part of the Infinity Group's key management team alongside Jonathan Cheng and Chen Yicheng.

Holding

The Appellate Division affirmed the judge's finding that the appellant committed fraudulent misrepresentation by making the Ownership Representation (that Infinity Capital owned the freehold land) and the Construction Representation (that construction would commence soon). The court found the brochures, read with the appellant's messages, conveyed to a reasonable reader that the developer already owned the land. The appellant was part of the Infinity Group's key management team, had longstanding knowledge of the Land Sale and Purchase Agreement and Settlement Deed, and bore responsibility to know the representations were false. The court found the appellant knew or was reckless as to the falsity of the representations, supported by serious omissions in his affidavits, inadequate document disclosures, and evasive cross-examination testimony. A material representation gave rise to a rebuttable presumption that the respondent

relied on it, which the appellant failed to rebut. However, the court set aside the judge's findings on negligent misstatement and unlawful means conspiracy, finding the respondent's pleadings defective in these respects. The court affirmed damages of US\$1,786,000 with interest at 5.33% per annum from the commencement of legal proceedings but modified the costs orders.

Significance

This decision clarifies that representations about land ownership in the context of property marketing must be interpreted from the perspective of a reasonable person in the representee's position, and such representations ordinarily include an implicit assertion that the developer currently owns or has secured rights to the land, not merely that it will own the land at completion. The judgment establishes that a party making investment representations has a duty to exercise reasonable care in verifying their truth, particularly where they hold a position within the organization making the representations and are in a position to verify critical facts. The case demonstrates the court's willingness to draw adverse inferences against parties who fail to disclose relevant documents, provide inadequate explanations in affidavits despite being in the best position to do so, and give evasive testimony. The partial appeal outcome emphasizes that successful fraudulent misrepresentation claims do not automatically establish negligent misstatement or conspiracy where the pleadings lack sufficient specificity regarding the latter claims.

Precedent impact

The judgment reinforces established principles on fraudulent misrepresentation from *Broadley Construction Pte Ltd v Alacran Design Pte Ltd*, but clarifies the application of these principles to property marketing contexts. It develops the law on drawing adverse inferences by providing detailed guidance on when trial judges are entitled to infer knowledge or involvement from documentary evidence, selective disclosure practices, and evasive testimony. The decision affirms that material misrepresentations give rise to a presumption of reliance in contract cases, shifting the burden to the defendant to rebut reliance. The judgment signals that courts will rigorously scrutinize claims by parties who had fiduciary or management roles within organizations making representations but who attempt to distance themselves through formal denials of directorship or employment.

Full judgment URL

https://www.elitigation.sg/gd/s/2026_SGHCA_18